intrinsic value—could be as low as a conservative 27 percent or as high as 70 percent.

The best business to own, says Buffett, is one that, over a long period of time, can employ ever-larger amounts of capital at sustainably high rates of return. In Buffett's mind, this was the perfect description of Coca-Cola. Ten years after Berkshire began investing in Coca-Cola, the market value of the company had grown from $25.8 billion to $143 billion. Over that time period, the company produced $26.9 billion in profits, paid out $10.5 billion in dividends to shareholders, and retained $16.4 billion for reinvestment. For every dollar the company retained, it created $7.20 in market value. At year-end 1999, Berkshire's original $1.023 billion investment in Coca-Cola was worth $11.6 billion. The same amount invested in the S&P 500 index would have been worth $3 billion.

General Dynamics

In 1990, General Dynamics was the country's second-largest defense contractor behind McDonnell Douglas Corporation. General Dynamics provided missile systems (Tomahawk, Sparrow, Stinger, and other advanced cruise missiles) in addition to air defense systems, space-launched vehicles, and fighter planes (F-16s) for the U.S. armed forces. In 1990, the company had combined sales of more than $10 billion. By 1993, sales had dropped to $3.5 billion. Despite that, shareholder value during this period increased sevenfold.

In 1990, the Berlin Wall crumbled, signaling the beginning of the end of the long and expensive Cold War. The following year, communism collapsed in the Soviet Union. With each hard-earned victory, from World War I to the Vietnam War, the United States had to reshape the massive concentration of its defense resources. Now that the Cold War was over, the U.S. military-industrial complex was in the midst of another reorganization.

In January 1991, General Dynamics appointed William Anders as chief executive. At the time, the share price was at a decade low of $19. Initially, Anders attempted to convince Wall Street that even with a shrinking defense budget, the company could earn higher valuations. Hoping to remove any financial uncertainty that would prejudice analysts, he began to